

7. Start by assessing all household assets and liabilities. A retirement plan involves more than just financial assets. The retirement balance sheet is the starting point for building a retirement income strategy. This has been a fundamental lesson from various retirement frameworks, such as Jason Branning and M. Ray Grubbs's Modern Retirement Theory, Russell Investments' funded ratio approach, and the household balance sheet view of the Retirement Income Industry Association. At the core of these different methodologies is a desire to treat the household retirement problem in the same way that pension funds treat their obligations. Assets should be matched to liabilities with comparable levels of risk. This matching can either be done on a balance sheet level, using the present values of asset and liability streams, or it can be accomplished on a period-by-period basis to match assets to ongoing spending needs. Structuring the retirement income problem in this way makes it easier to keep track of the different aspects of the plan and to make sure that each liability has a funding source. This also allows retirees to more easily determine whether they have sufficient assets to meet their retirement needs, or if they may be underfunded with respect to their goals. This organizational framework also serves as a foundation for choosing an appropriate asset allocation and for seeing clearly how different retirement income tools fit into an overall plan.

Exhibit 1.2 provides a basic overview of potential assets and liabilities to consider.

*Exhibit 1.2 Basic Retirement Assets and Liabilities*